

01 Sep 2026 09:47:26 ET | 12 pages

Kingboard Laminates Holdings (1888.HK)

Sep Sets Another Record ASP Inflation of E-glass Fabric

CITI'S TAKE

Per F139, the ASP of e-glass fabric rose by 15-20% to Rmb15.8 / m on 1080 series, Rmb15.2 / m on 2116 series and Rmb11.6 / m on 7628 series for Sep-26. The absolute inflation of Rmb1.55-2.50 / m again sets a fresh YTD high, exceeding Aug's Rmb1.5-2.0 and running well above the Rmb0.5-1.0 monthly pace of 1H26. See **Fig 1** and **Fig 2**. This came in above our own expectation of a slightly lower magnitude in Sep than Aug, and it tells us that industry tightness has not begun to normalize into 4Q. We expect KBL to pass this through with another CCL price increase by early Oct. The stock trades on ~10x PE and ~5-6% div yld for 2027E with a 3-yr EPS CAGR of 94% through 2028E. **Reiterate Buy.**

Buy / High Risk

Catalyst Watch: Upside, expires 28-SEP-26

Price (01 Sep 26 16:10)	HK\$43.80
Target price	HK\$95.00
Expected share price return	116.9%
Expected dividend yield	3.6%
Expected total return	120.5%
Market Cap	HK\$138,034M
	US\$17,609M

Citi Industrial | SMID | Transport conference on 22-23 Sep at Conrad Hotel, HK – in conjunction with an expert luncheon on **23 Sep at 12.00-13.00**. Topic: **Upstream Fibreglass Fabric and Copperfoil Development on AI-CCL Supply Chain**. Speaker: Jason Cheung, President of Global Marketing, R&D at Kingboard Laminates (1888.HK). Click [here](#) for registration.

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[Kingboard Laminates Holdings \(1888.HK\) - Opening 30D Upside CW on Expectation of Another Price Hike in Sep](#)

Implications – As noted in the above, when we opened a 30D upside catalyst watch, we anticipate KBL will raise ASP of CCL by 10%+ by early Oct in response to the cost hike of e-glass fabric this time. And the monthly run rate in Sep should exceed HK\$1.1bn in July, HK\$1.2bn in Aug, per our estimation, due to the sustainability of the ASP hike on CCL and e-glass fabric. This would account for 50-60% and 20-30% of 2H26E net profit, respectively. The balance 10-20% profit contribution would come from copperfoil. Recall KBL reported a monthly profit run rate of HK\$1.1bn for July, which has steeped up compared with our estimated HK\$600m+ in 2Q26 and HK\$300m+ in 1Q26.

Sep is the steepest month of the cycle, not the start of a plateau – We had expected the Sep increase to moderate on the view that Aug already captured the bulk of the squeeze. Instead, 1080 and 2116 each added Rmb2.5 / m, above the Rmb2.0 and Rmb1.85 added in Aug, while 7628 added Rmb1.55 against Rmb1.50. The three grades have now compounded for nine straight months without a flat print. We read the acceleration as incremental AI demand growth running faster than new fabric supply can be commissioned, not as restocking on expectation of price increase forward.

See Appendix A-1 for Analyst Certification, Important Disclosures and Research Analyst Affiliations

Supply constraints have tightened rather than eased – Industry channel checks point to loom availability, glass yarn, copperfoil are key bottlenecks. KBL sees order visibility of CCL more than 3mths with little channel inventory compared with 3-4 weeks channel inventory under a normal circumstance prior to AI era. KBL will take about half of **Toyota (6201.TT)** looms output for coming 2yrs thru 2028 (i.e., ~2.5k of total 4.8k units). This is a strong KBL competitive advantage over other core rivals. Thus, KBL is poised to win more wallet share on e-glass fabric, AI-fabric and CCL.

CCL pass-through should follow by early Oct – KBL raised FR4 CCL by 10% to Rmb340+ / sheet and prepreg by 10-15% effective 28 Aug, roughly 3-4 weeks after the Aug fabric cost hike. On the same lag, the Sep fabric move points to another CCL increase by early Oct.

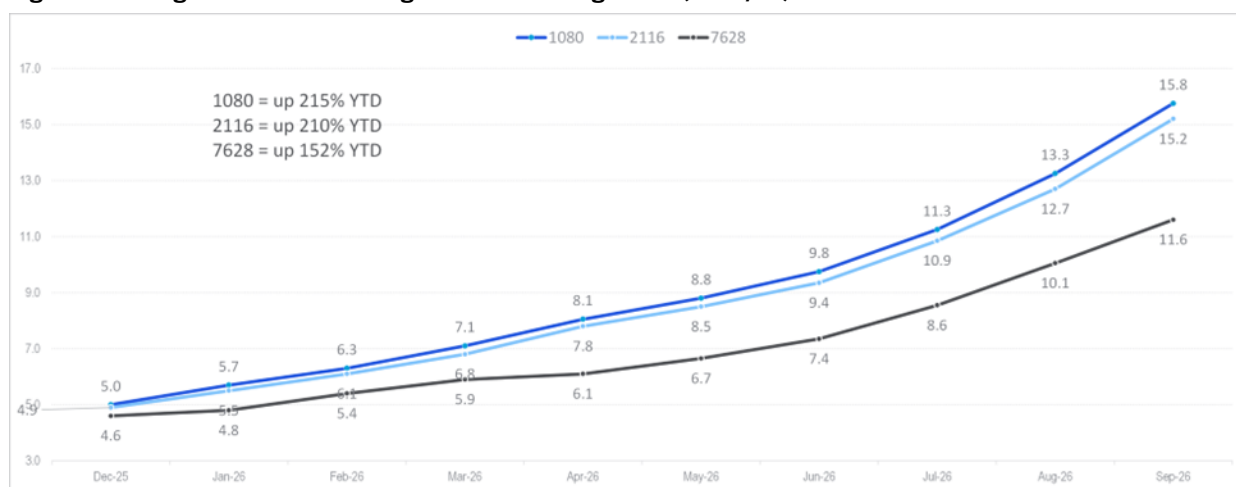
Figure 1. Monthly e-glass fabric ASP and month-on-month addition through Sep-26

Rmb / m	Monthly ASP addition					
	1080	2116	7628	1080	2116	7628
Dec-25	5.0	4.9	4.6			
Jan-26	5.7	5.5	4.8	0.7	0.6	0.2
Feb-26	6.3	6.1	5.4	0.6	0.6	0.6
Mar-26	7.1	6.8	5.9	0.8	0.7	0.5
Apr-26	8.1	7.8	6.1	1.0	1.0	0.2
May-26	8.8	8.5	6.7	0.8	0.7	0.6
Jun-26	9.8	9.4	7.4	0.9	0.9	0.7
Jul-26	11.3	10.9	8.6	1.5	1.5	1.2
Aug-26	13.3	12.7	10.1	2.0	1.9	1.5
Sep-26	15.8	15.2	11.6	2.5	2.5	1.6

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Source: Citi Research, F139, Company Reports

Figure 2. Strong ASP inflation on e-glass fabric during 9M26 (Rmb / m)



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Source: Citi Research, F139, Company Reports

Kingboard Laminates Holdings

Valuation

Our target price for KBL shares of HK\$95 is based on a ~20-21x P/E for 2027E, at +1.5SD over mean. We employ a premium (+1.5SD) over mean to reflect the growing % of its AI-fabric new business from 2H26E which should trigger re-rating along with further earnings upgrade possibility on e-glass fabric given higher run-rate of price inflation in June. We think the premium is justified as we expect a continued GM expansion cycle during 2026E-28E along with potential earnings upgrades given KBL would expand its customer base for AI-fabric under the NVDA and ASIC ecosystem this year. We think a PE methodology appropriately captures the company's medium-term operating performance. Our target price translates to 0.2-0.3x PEG (regional comp around 0.6x) backed by strong three-year earnings CAGR of 94% thru 2028E. We think this appears undemanding compared with regional CCL comps.

Risks

Our quant model gives a High Risk rating on the stock due to high stock price volatility. In terms of fundamentals, upside/downside risks that could cause the stock to exceed/underperform our target price include: 1) faster/ slower-than-expected demand on upstream materials such as glass fabric and copper foil on AI-related products; 2) China macro growth performs faster/slower-than-expected; 3) stronger/weaker-than-expected stimulus policies in China; or 4) recovery/weakness in end-demand of electronic goods.

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Appendix A-1

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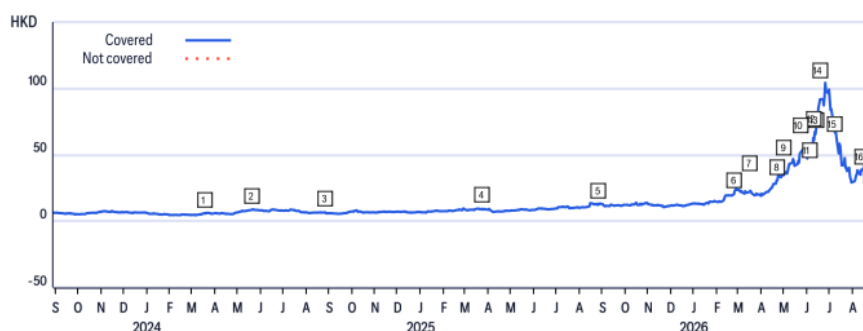
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Kingboard Laminates Holdings (1888.HK)

Ratings and Target Price History Fundamental Research

Analyst: Eric Lau



Date	Rating	Target Price	Closing Price
1 18-Mar-24 13:55:33	1	*8.16	6.00
2 20-May-24 16:10:28	1	*12.44	8.50
3 26-Aug-24 12:52:14	1	*11.45	6.67
4 24-Mar-25 13:48:33	1	*13.94	9.23
5 25-Aug-25 14:05:25	1	*20.41	12.24
6 23-Feb-26 11:49:32	1	*27.87	20.29

*Indicates Change

Date	Rating	Target Price	Closing Price
7 16-Mar-26 17:59:34	1	*29.86	22.10
8 22-Apr-26 09:32:35	1	*42.80	30.72
9 03-May-26 18:02:15	1	*50.77	34.54
10 25-May-26 19:33:53	1	*65.70	50.87
11 03-Jun-26 08:03:10	1	*75.65	54.00
12 08-Jun-26 10:05:51	1	*79.63	55.69

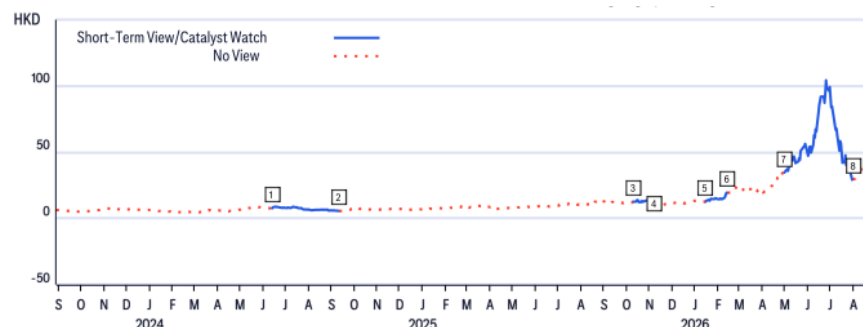
Date	Rating	Target Price	Closing Price
13 14-Jun-26 17:16:22	1	*100.00	65.60
14 18-Jun-26 00:33:31	1	*120.00	91.85
15 06-Jul-26 04:51:13	1	*130.00	73.85
16 12-Aug-26 12:45:21	*1H	*92.00	38.70
17 24-Aug-26 13:46:39	1H	*95.00	35.10

Rating/target price changes above reflect Eastern Time

Kingboard Laminates Holdings (1888.HK)

Short-Term View/Catalyst Watch Research

Analyst: Eric Lau



Date	Action	Expected Direction	Duration	Closing Price
1 13-Jun-24 06:22:03	Add CW	Upside	90 Days	7.63
2 11-Sep-24 00:14:59	Remove CW	Upside	90 Days	5.59
3 09-Oct-25 07:10:54	Add CW	Upside	30 Days	12.56

Date	Action	Expected Direction	Duration	Closing Price
4 07-Nov-25 12:06:35	Remove CW	Upside	30 Days	11.85
5 14-Jan-26 03:04:03	Add CW	Upside	30 Days	12.40
6 13-Feb-26 12:13:30	Remove CW	Upside	30 Days	19.29

Date	Action	Expected Direction	Duration	Closing Price
7 03-May-26 14:02:15	Add CW	Upside	90 Days	34.54
8 31-Jul-26 14:06:17	Remove CW	Upside	90 Days	29.42
9 28-Aug-26 01:34:41	Add CW	Upside	30 Days	45.16

CW - Catalyst Watch, STV - Short-Term View

Rating/target price changes above reflect Eastern Time

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